

Yes, you do have beautiful and luxurious malls in large cities, but there is also a rapid expansion of digital and online markets. We sell in 45 cities online; we serve close to 19,000 pin codes. Digitalisation has taken decades in other countries but less than a decade in India. That allows us to tap into a large part of India's population. We are committed to India and want to be the leader in the prestige segment in every city.

We need to keep fine-tuning the strategy in every country as markets evolve. They are influenced by social media and, today, it is a two-way conversation. It was one-way earlier, where the brand spoke to the consumer. Now, we constantly listen to what consumers are telling us. So, there is a constant refinement based on how trends are evolving.

Q: You recently unveiled Beauty Reimagined, with a focus on restoring the company's sustainable sales growth and achieve stronger profitability. Tell us more about it.

A: This is something very close to my heart. We have been in the business for 77 years and intend to be there for many, many more decades. Beauty Reimagined is about putting the consumer at the centre of everything we do.

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There are five pillars to this. One is consumer coverage or where we want to access the consumer, who is constantly on the move. We need to go where they go as waiting for them to come to you is not good enough. The second is accelerating innovation. People want to know what is new. A significant part of our new offerings is the result of innovation. I have publicly stated that we will treble the number of innovation-led products over the next 12 months. Coming to the third pillar, the world is becoming more competitive, and so we must be more consumer-facing. It allows me to reach out to consumers on the platforms where they are.

Then, there is a need to take bold decisions. We have had challenges as a company since some agility has been lost. We need to regain that. We are simplifying the organisation to be leaner and faster in responding to the consumer's evolution. Finally, we must understand how we work internally and externally.

Q: Speaking of innovation, has the time taken to launch a new product reduced?

A: Absolutely. I just want to go back to the point on trebling innovation over the next 12 months. We will do this across categories. I remember having this discussion with my team about one product launch. The plan was to bring it to the market in less than a year.

Innovation has multiple fronts—it is about dif-



ferent ways of portraying a product that people love. Lipsticks from the Wedding Party Collection, launched exclusively with Nykaa, was our first product made in India. We took eight months to develop the concept and bring it out in the market. Normally, it would have taken more than a year. It comes down to how we are changing our processes. By that I mean faster decision-making, leveraging external partners and using artificial intelligence (AI) in a much bigger way. Personally, I am very passionate about AI. For instance, we have seen a dramatic increase in weighted forecast accuracy. We have several decades of insights and proprietary data. Now, we are fitting that into a system. Recently, we had a partnership with Microsoft (to build a generative AI ecosystem) that had our proprietary AI tool, ConsumerIQ, with data on every product and brand. That's where the second part of Estée Lauder's generative AI ecosystem, Trend Studio, comes in. The two create a match that is made in heaven. Now, we can pick up a trend and marry that with insight. It allows us to create better products much faster and with a greater understanding; we know what the consumer wants.

Q: In that sense, is it both an art and a science?